

		As noted above, the law favors disposing of cases on their merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default, and where a party seeking relief makes a strong showing of diligence in seeking relief after discovery of the facts, and the opposing party is unable to show prejudice from the delay, the negligence in allowing the default to be taken will be excused on a weak showing. Defendant, Aracely Leon-Cabral (“Leon-Cabral”), has made a showing of diligence in seeking relief after discovery of the default as she promptly filed the instant motion on September 18, 2025, after learning of the default on September 3, 2025. There is no opposition, and it seems unlikely that there is prejudice since there was little delay and the case is still in the early stages. Plaintiff has just proceeded by default. Thus, Defendant Leon-Cabral need only make a weak showing of mistake, inadvertence, and/or excusable neglect. “[A]s for inadvertence or neglect, ‘[t]o warrant relief under section 473 a litigant’s neglect must have been such as might have been the act of a reasonably prudent person under the same circumstances . . . It is the duty of every party desiring to resist an action or to participate in a judicial proceeding to take timely and adequate steps to retain counsel or act in his own person to avoid an undesirable judgment. Unless in arranging for his defense he shows that he has exercised such reasonable diligence as a man of ordinary prudence usually bestows upon important business his motion for relief under section 473 will be denied. [Citation.] Courts neither act as guardians for incompetent parties nor for those who are grossly careless of their own affairs The only occasion for the application of section 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded.’ [Citation.]” (<i>Hearn v. Howard</i> (2009) 177 Cal.App.4th 1193, 1206.) Defendant Leon-Cabral provides that on or about June 15, 2025, Defendant was served with a summons and complaint and states: “At that time, I did not understand the summons or the legal terminology contained in it. I mistakenly believed that I didn’t need to file a response right away, and/or that I would have the opportunity to address the matter in person at a later date.” (Declaration of Aracely Leon-Cabral, ¶ 2.) Defendant also states: “Because of my misunderstanding, and due to the fact that I have no legal training or knowledge of court procedures, I failed to file a timely response to the Complaint,” and that the failure to respond was “the result of my lack of understanding of the process and legal terms used in summons.” (<i>Id.</i>, ¶¶ 3, 5.) The Court finds that Defendant Leon-Cabral has made a showing of diligence in bringing the instant motion and a sufficient showing of inadvertence and/or excusable neglect to set aside the entry of default and subsequent entry of default judgment on December 2, 2025 (ROA 32). The Court orders clerk to give notice.
4.	30-2024-01396557 McNelis vs. Volkswagon Group of America, Inc	1. Application/Request Defendants Volkswagen Group of America, Inc. and Unstoppable Automotive AMV, LLC dba Audi Mission Viejo (“Defendants”) apply to this Court for an order setting aside the settlement entered into with plaintiffs Brooke McNelis and Patrick Michael Daly (“Plaintiffs”) and/or relief from entry of judgment on Defendants’ statutory offer pursuant to Code of Civil Procedure section 473(b).

Defendants argue that their statutory 998 Offer contains a typographical error regarding the amount that they agreed to pay. They argue that relief is warranted under Code of Civil Procedure section 473(b) due to this excusable mistake.

On October 9, 2025, this Court denied Defendants' ex parte application to set aside the parties' settlement. The Court ruled that Defendants were not diligent in seeking relief, as they failed to do anything about correcting the claimed error after Plaintiffs filed their Motion to Enforce Settlement on July 21, 2025 until **October 6, 2025**. Defendants admitted in the application that they were aware of the error as early as May 22, 2025 and still did nothing until their ex parte application was filed on October 6, 2026.

Defendants again argue that the error in the 998 Offer was due to an internal case transfer. However, the counsel who signed the 998 Offer also appears on the caption page of the moving papers and is the same counsel who has submitted a declaration in support of the instant motion. Therefore, as it did with regard to the ex parte application, the Court rejects this argument.

The mandatory relief provision of Code of Civil Procedure section 473(b) provides: "Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to the attorney's mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against the attorney's client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against the attorney's client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect." This provision does not apply here, where no default or default judgment or dismissal has been entered against Defendants. (See *Martin Potts & Associates, Inc. v. Corsair, LLC* (2016) 244 Cal.App.4th 432, 438 ["mandatory relief provision is narrower in scope insofar as it is only available for defaults, default judgments, and dismissals"].)

Defendants alternatively argue that relief is warranted even if the mandatory provision does not apply due to their counsel's excusable mistake.

"The court may, upon any terms as may be just, relieve a party or the party's legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party's mistake, inadvertence, surprise, or excusable neglect. Application for this relief . . . shall be made within a reasonable time, in no case exceeding six months, after the judgment dismissal, order, or proceeding was taken." (Code Civ. Proc., § 473(b).)

It is not clear whether the 998 Offer constitutes a "proceeding" taken against Defendants. Even assuming it does, the 998 Offer was accepted by Plaintiffs on March 19, 2025 and Defendants therefore had until September 19, 2025 to bring an application for relief under section 473(b). They did not file the instant application until October 17, 2025. A party seeking discretionary relief under section 473 must act diligently. (*Huh v. Wang* (2007) 158 Cal.App.4th 1406, 1419.) Defendants have failed to act diligently here. Thus, they are not entitled to relief under the discretionary provisions of section 473(b).

In light of the above, the application for relief is **DENIED**.
Defendants to give notice.

5.	30-2024-01382035	1. Motion to Compel Production
	Frank Recruitment Group, Inc vs. Loko AI, Inc	Plaintiff/Cross-Defendant, Frank Recruitment Group Inc. (“FRG”) moves for an order compelling Cross-Complainant Loko AI, Inc. (“Loko”) to produce documents in accordance with Responses to Request for Production of Documents, Set One. FRG contends that on March 21, 2025, FRG propounded Request for Production of Documents, Set One to Loko, and that on May 7, 2025, Loko served responses to FRG’s Request for Production of Documents, Set One, providing that it would comply with each request, but that no documents have been produced. Code of Civil Procedure section 2031.320(a) provides that a party may move for an order compelling compliance if a party serving a response to an inspection demand thereafter fails to permit inspection in accordance with that party’s statement of compliance. The opposition asserts and the reply acknowledges that after the filing of this motion on November 17, 2025, Loko served its document production on February 23, 2026. (Supplemental Declaration of Patrick A. Hormillosa, ¶¶ 3-4 (“Reply Hormillosa Decl.”).) Therefore, the request to compel the production of documents is MOOT. To the extent that FRG contends that the document production is incomplete, and that the document production is missing documents identified in Loko’s other discovery responses that would be responsive to Request for Production, Set One, Nos. 12, 15, 16, and 32, that is a new argument raised in reply. Additionally, FRG does not argue that no documents were produced in response to the abovementioned requests. Further, these other discovery responses to which FRG refers, are supplemental responses that were served subsequent to Loko’s document production. What remains is FRG’s request for monetary sanctions. <i>Monetary Sanctions</i> The motion requests that the Court award FRG monetary sanctions in the amount of \$3,612.50 against Loko pursuant to Code of Civil Procedure section 2031.320(b) and 2023.030(a). “[T]he court shall impose a monetary sanction . . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel compliance with a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code Civ. Proc. § 2031.320(b).) Additionally, the court may impose a monetary sanction ordering that one engaging in conduct that is a misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, included attorney’s fees incurred as a result of that conduct. (Code Civ. Proc. § 2023.030(a).) The court shall impose a monetary sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust. (<i>Ibid.</i>) Misuses of the discovery process include “[f]ailing to respond or to submit to an authorized method of discovery.” (Code Civ. Proc. § 2023.010(d).)